

Personal Finance

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GOLD PURCHASES

Rajeev Sharan, Head, Research, Brickwork Ratings

Record gold prices may moderate jewellery volumes, with many buyers opting for lighter pieces or leaning towards coins & digital gold.

Hedge equity risks with multi-asset funds

RETURNS SETTLE INTO A RANGE BETWEEN THOSE OF DEBT & EQUITY OVER A FULL CYCLE

SAIKAT NEOGI

AS THE NIFTY is trading at six-month lows and has touched its 200-week moving average for the first time since Covid, it is safer to consider multi-asset funds. The built-in diversification helps, and putting in money through a systematic investment plan (SIP) adds a second layer of protection by removing entry-timing risk.

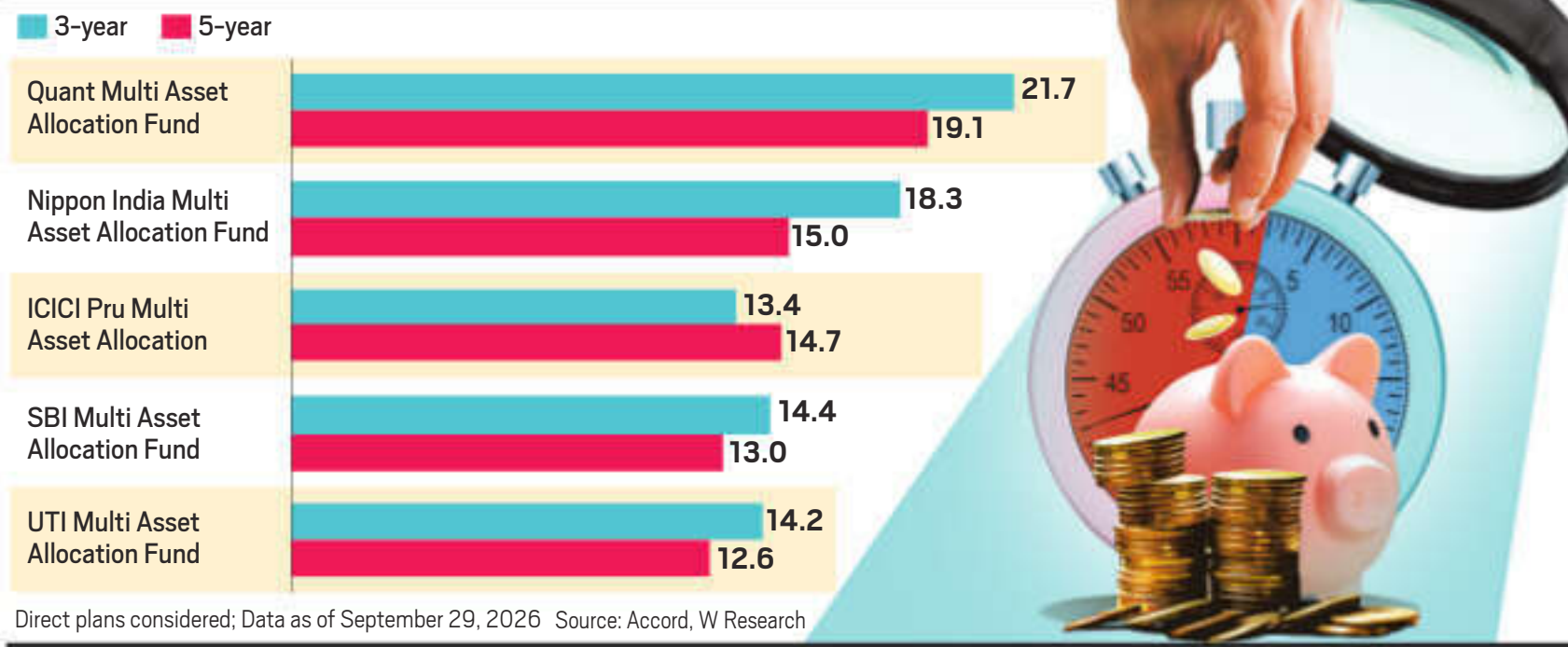
In the 12 months to August 2026, multi-asset funds drew about ₹68,500 crore, ahead of small-cap funds at ₹62,300 crore and mid-cap funds at ₹61,000 crore. Part of this is performance chasing, since flows rose in step with the gold rally. Over a two-year period, the average SIP returns of multi-asset funds was 8.5% against 7.6% for mid-cap funds and 4% for large-cap funds.

The real value is behavioural as a multi-asset fund's swings are smaller than a pure equity fund. Investors are more likely to keep the SIP running through a correction. "That continuity matters more than chasing the best-returning category in any single year," says Nirav R Karkera, head of research, Wby Groww.

Asset allocation

The higher returns of multi-asset funds came mainly from asset allocation, not from stock picking. In the last two years, gold and silver deliv-

DIVERSIFICATION MATTERS



ered unusually strong gains, while equity returns were moderate and debt earned steady interest. International allocations — select funds holding 5%-12% in overseas equities and fund units — have helped, too. For Indian investors, a weakening rupee and higher import duties also raised local gold prices beyond the global rally.

Investors must weigh these funds over the long run rather than on recent performance. "A multi-asset fund is designed to steady returns across cycles, not to lead in any single one," says Gurmeet Singh Chawla, managing director, Master

Portfolio Services.

The diversification helps in reducing risks as different asset classes take different trajectories to the same macro environment. "The key is disciplined allocation and rebalancing rather than chasing the best-performing asset," says Prashasta Seth, CEO, Prudent Investment Managers.

Will momentum persist?

Strong gold rallies are usually followed by long periods of flat or falling prices. A weaker rupee and higher import duties are one-time boosts, not repeatable sources of

return. If equity, especially small-caps and mid-caps, takes the lead, the multi-asset fund's gold and debt holdings will hold back returns. Investors should expect multi-asset returns to settle into a range between debt and equity returns over a full cycle. "These funds are best judged on smoother returns across cycles, not on matching their recent performance," says Kush Gupta, director, SKG Investments and Advisory.

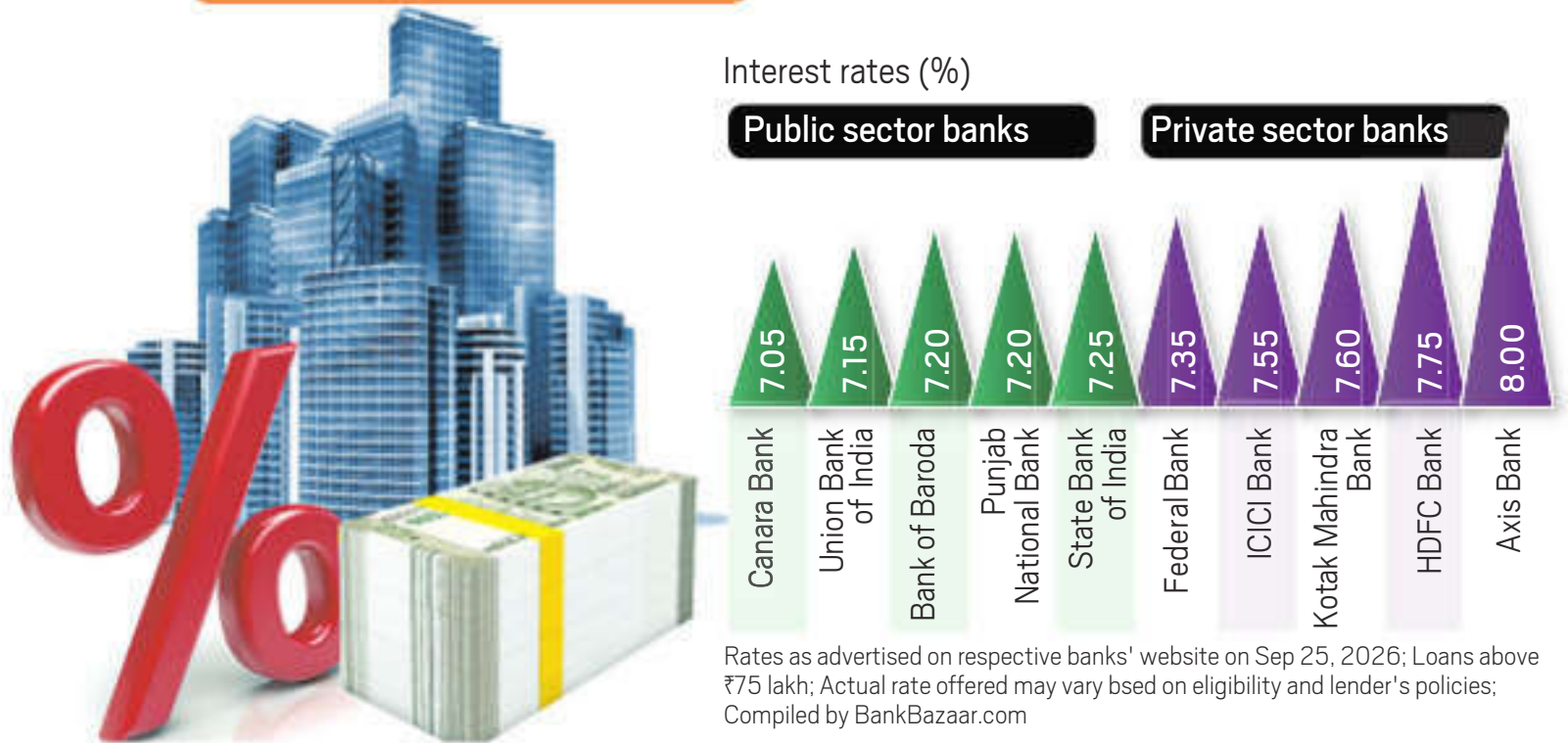
Before investing, look at the fund's equity range and how it has moved over time, the size and composition of the commodity allocation and the rebalancing rules.

LOAN METRICS

HOME LOAN

Be sure you can afford the EMIs

Those planning to take a home loan should not assess affordability based on only current interest rates. They must leave room for higher EMIs in the future as these loans are for a longer tenure.



SMART MONEY

PRECIOUS METALS

Buy digital silver via SIPs on JioFinance app

JIO FINANCE PLATFORM and Service has launched a new offering called JioSilver on its JioFinance app that offers 99.9% pure, physical-backed digital silver, with investments starting at just ₹10. Investors can set up recurring silver systematic investment plans (SIP) with the flexibility to opt for

weekly or monthly SIP frequency. Investors can view live silver prices, holdings and transactions through a dedicated JioSilver dashboard on the app.

HEALTH INSURANCE

ICICI Lomard targets Gen Z with health plan

ICICI LOMBARD GENERAL Insurance has introduced VIBE, a Gen Z-first health protection plan built on the IL Take Care (ILTC)

proposition. Bringing together comprehensive hospitalisation cover, everyday healthcare, mental wellbeing, and lifestyle-linked rewards, VIBE is designed to offer a more holistic approach to health protection to young adults in the 18-35 years age group. The online-first product provides inpatient hospitalisation cover, along with an unlimited reset of the sum insured, ensuring continued financial protection in case of multiple hospitalisation needs.

Education

How IIM Bangalore turned GenAI into the exam paper itself

IT ALLOWED STUDENTS TO USE ARTIFICIAL INTELLIGENCE IN EXAMS, WITH A TWIST

VIKRAM CHAUDHARY

AS HIGHER education institutions grapple with the ethics of using Generative AI in classrooms and examination halls — and some even deploy unreliable detection tools to catch students cheating — Indian Institute of Management Bangalore has done something unique. It has allowed students 'controlled' use of AI in exams, with a twist.

During the June-July term this year, 78 MBA students across core Business Analytics and general MBA elective cohorts took their GenAI midterm not by putting pen to paper, but by training and deploying their own chatbots to answer questions on their behalf.

The initiative was spearheaded by Prof Subhabrata Majumdar, who built a custom, password-protected testing platform on Vercel — a cloud platform for web applications — in just two weeks using AI-assisted coding tools. To ensure academic integrity and data privacy, the platform operates as a secure cloud environment. The underlying Large Language Model (LLM) is strictly restricted to assigned course materials, preventing internet access.

According to Prof Majumdar, students were given a month to experiment, build draft versions, and evaluate different iterations of their chatbots before submitting one final bot for grading. The exam questions were identical to what a traditional midterm would test on



GenAI concepts, but supplied through the chatbot they built.

Because the platform was architected as a no-code Retrieval-Augmented Generation workflow, non-technical students were not disadvantaged compared to those with coding backgrounds. Instead, grading evaluated prompt engineering, parameter tuning, and how effectively students operationalised course material.

"Chatbots that scored highly had prompts with detailed instructions tailored towards answering questions realistically, keeping outputs brief, or augmenting low-quality

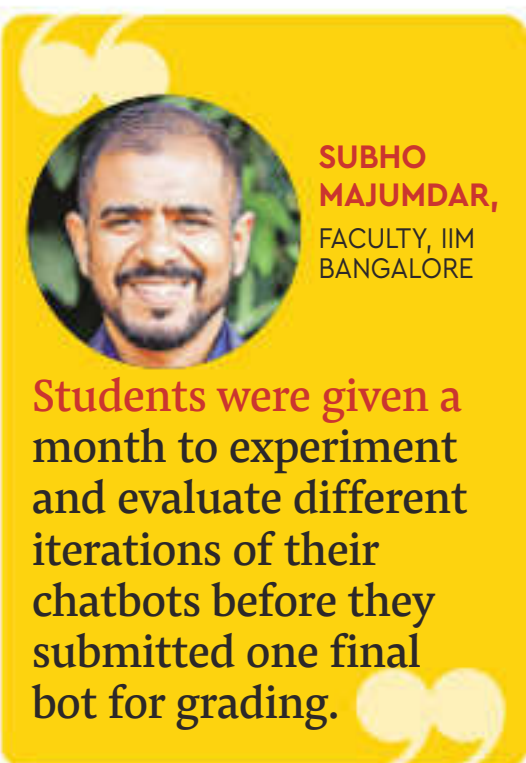
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answers with the model's knowledge," said Prof Majumdar.

It tested decision-making under technical constraints. When students discovered the platform struggled with complex PDF format, high-performing cohorts adapted by

converting their course material into plain text to optimise accuracy. "It trains them for industry-relevant soft skills, such as decision-making under uncertainty," he said.

This approach is a departure from static, memory-based assessments towards practical application. Drawing from eight years of industry leadership prior to acade-



mia, Prof Majumdar said that real-world execution hinges on problem-solving rather than rote recall. "Future leaders with hands-on knowledge will be able to quickly relate to technical teams, grasp deployment limitations, and accelerate project timelines. A hands-on, no-code evaluation is far more effective for B-school students than traditional closed-book exams."

Initial student feedback for the format was overwhelmingly positive, yielding evaluation scores between 4.5 and 5 out of 5. Following the success of the midterm, Prof Majumdar plans to open-source the Vercel-based platform and collaborate with faculty colleagues to scale the testing framework across other courses at IIM Bangalore.

India's demographic dividend needs more than degrees

FOR MILLIONS OF young Indians, a university degree represents more than an academic qualification — it is expected to lead to meaningful work, economic security, and dignity. Yet degrees alone cannot guarantee a demographic dividend. What matters is whether education develops capabilities young people can use productively, and whether the economy creates opportunities to do so.

If every difficulty in the college-to-work transition is labelled a 'skills gap', the response may be more training even when suitable jobs are unavailable. Conversely, focusing solely on job creation overlooks the preparation required to enter, perform, and progress in the workplace. India must address both.

Beyond the 'employability' label

The India Employment Report 2024 (ILO and Institute for Human Development) estimated unemployment among young graduates at 29.1% in 2022. It highlights the struggle moving from higher education to work, but high unemployment does not prove graduates lack ability.

While some graduates may lack expected competencies, others possess capabilities but find too few opportunities. Wages, location, working conditions, and professional networks also influence outcomes. Graduates are often expected to have work experience before having any opportunity to acquire it. Labelling youth 'unemployable' obscures this shared responsibility.

Connect learning, work, research

Education, employment, and research form one knowledge ecosystem. Education develops the capacity to investigate, employment allows applying capabilities, and research generates actionable knowledge. R&D expenditure grew from 0.64% of GDP in 2020-21 to 0.84% in

2023-24, with researchers rising from 262 to 354 per million (DST R&D Statistics 2025-26). Yet investment requires institutions capable of translating knowledge into practice.

The foundations begin in school. A project on campus water consumption, for example, could require students to measure usage, identify wastage, calculate costs, and test solutions. Science, mathematics, communication, and teamwork converge around a real problem whose answer is not supplied in advance. Such learning requires teachers trained for inquiry-based pedagogy that values problem-solving.

Higher education should build on this foundation. Programmes should make clearer what graduates can investigate, design, or improve.

From placements to pathways

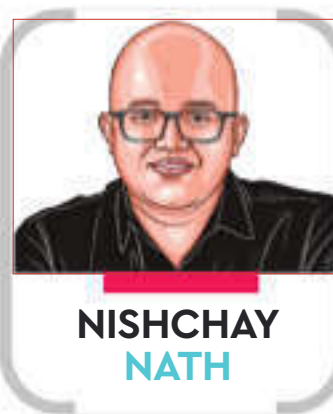
Two simple changes could give these high ambitions practical shape:

Structured placements: Colleges, universities, and training institutions should partner with employers for paid, supervised work experience featuring defined learning plans, mentors, as well as academic supervisors.

Sustained research partnerships: Universities should collaborate with enterprises and public institutions on jointly defined research questions with reliable funding, while protecting fundamental research.

A billion possibilities become a national dividend only when people have the capability to contribute and the opportunity to do so. That responsibility belongs collectively to India's schools, universities, employers, research institutions, and public policy makers.

Prof K Pushpanadham is head, Department of Educational Administration, MS University of Baroda. Ashok K Pandey is director, GEMS Millennium School, Chaziabad



NISHCHAY NATH

Due diligence

The third is treating a credit rating as a substitute for due diligence. Ratings reflect an assessment at a particular point in time and can change as an issuer's financial position changes. Investors should go one level deeper: How does the company make money and how strong is its cash flow? What is its debt burden and where will repay-

ment come from?

The fourth mistake is ignoring maturity. A bond can be perfectly suitable in isolation and completely unsuitable for an investor's financial plan. Matching maturities to financial goals reduces the need to sell at an inconvenient time and makes the fixed-income allocation genuinely useful for planning, rather than simply another source of returns.

The fifth and perhaps most underestimated risk is liquidity. Investors often assume that because a bond has a maturity date, they can exit whenever they want. That is not necessarily true. A thinly traded bond may take time to sell. This is where the distinction between holding to maturity and being able to sell before maturity becomes critical. The larger lesson is that bond investing is not simply about finding the safest issuer or the highest coupon. It is about understanding the trade-off between return, credit risk, concentration, time and liquidity.

In fixed income, the objective should not be to eliminate risk. It should be to make sure the risks you are taking are understood, intentional and adequately compensated.

The writer is founder & CEO, BondScanner

